

2. Pay more.

Do whatever you have to do to at least make the minimum monthly payments on time each and every month. That is the bare necessity. If at all possible, make more than the minimum payment. The required minimum payment used to be just 2% of your balance. As of January 2006, that has been raised to 4%. Even so, only paying 4% each month means the meter keeps running on finance charges and stretches out the amount you continue to owe, and the date for paying it off entirely appears to be nowhere on the horizon.

3. Don't skip.

Your ultimate concern is to keep paying. Do not, I repeat, do not skip payments. If your account gets turned over to a collection agency, it hurts your credit score, and it hurts it for a long time, for up to seven years. If you are having trouble making your payments, contact the creditor and try to work out a different payment arrangement. Ignoring the problem won't make it go away; it only makes it worse. Pay whatever you can and work responsibly with your creditors. Keep your accounts out of collection. Your actions today affect your future. Paying your bills today means no stress tomorrow!

4. Don't close.

This strategy sounds unusual to many people, but if you have a good track record with old accounts, it makes perfect sense to keep them around, reflecting your good credit history on your credit report. Don't close old accounts. One of the rating factors of the credit score is how long you have had credit with each creditor.

Even if you no longer use an account, if you have made the payments timely over a long period of time, keep it open. You don't have to use the card. Just reap the rewards of good credit history. According to credit expert Hazel Valera of Clear Credit Exchange, in her remarks to the Millionaire Real Estate Club of Las Vegas, the best boosts for your credit score are accounts that are five years old with a credit limit of at least \$5000, and no more than 30% of that being utilized. Accounts like these with a good payment history can get your score into the 800 range.